

“While remuneration alone may not guarantee stronger governance, it enhances the independence and effectiveness of board members”

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NARENDRA MURKUMBI

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on the number of women rather than thinking of diversity as a function of board size.”

Another irritant, says Narendra Murkumbi—the youngest ever independent director to sit on a bank (ICICI Bank) board at 35 in 2006—is common directorships. “To the extent, it is fair to say a company where the bank’s independent director is a promoter or a whole-time director can’t have a lending relationship with a bank. But that an independent director of a company also can’t be on the board of any bank that lends to it reduces the supply of qualified candidates considerably,” he says.

There’s another fault-line here, one highlighted by former RBI Governor Y.V. Reddy way back in December 2005. He said some governance aspects of state-run banks are exempt from the BR Act as they are governed by the respective legislations under which they were set up. While the RBI has tried to ensure uniform treatment of state-run and private banks on prudential regulations, on governance, “the RBI prescribes its policy framework for private banks while suggesting to the government the same framework for adoption, as appropriate, consistent with the legal and policy imperatives.” And these concerns are yet to be addressed.

Read together, the onerous responsibilities placed on independent directors, the ongoing board refresh, the demand for them in India Inc in general and emphasis on board diversity have left banks gasping for candidates to fill directorships. These have been compounded by the intense scrutiny of RBI-regulated entities, the executive nature of boards and poor remuneration to independent directors.

This calls for RBI’s immediate attention. **BT**

rectors in private banks is between ₹20,000 and ₹1 lakh per sitting. In state-run banks, it is much less.

Then, there’s the issue of tenure. The Companies Act introduced a clause for independent directors from April 1, 2014, which said their maximum term on the board of a company will be 10 years. Consequently, a large number of long-tenured directors are now retiring. The grandfathering of previous tenures ended in 2024 and these positions are now being filled.

As per a report by the proxy advisory firm Institutional Investor Advisory Services India (IiAS), titled *The 2024 Board Refresh*, while several companies have a steady path to rotating their independent direc-

tors, there are several others that will have to make material changes in one fell swoop. “For such companies, ensuring board stability and maintaining institutional memory will be the key. In such circumstances, companies may consider continuing their tenured independent directors in a non-executive capacity for a year or two to handhold the new board,” it said.

These requirements come at a time when diversity has become the dominant theme. The IiAS report highlights that despite improvement, women’s representation on boards of Nifty 500 companies was still just 18.2% at the end of 2023 and lags many other markets. “Most of corporate India continues to focus